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U.S. DEPARTMENT OF COMMERCE

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AI Accountability Policy Request for Comment	)	

COMMENTS OF OPEN MIC ET AL.

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Introduction

Thank you for the opportunity to submit input to the National Telecommunications and Information Administration on how to develop a productive AI accountability ecosystem.

This comment focuses on the perspective of investors as stakeholders not only in the success or failure of individual companies developing and using AI technology, but also in how this new technology stands to impact the institutions and rights that underpin the integrity of our economy and the fabric of our society.

Joining as signers of this comment are Open MIC, a non-profit that works with investors to foster greater corporate accountability in the tech sector; Heartland Initiative, a non-profit that partners with investors to prevent and mitigate human rights- and conflict-related risks in their portfolios; NEI Investments, an asset manager with a focus on responsible investment; Arjuna Capital, an investment firm offering performance-oriented impact investing; the Seventh Generation Interfaith Coalition for Responsible Investment; a coalition of faith and values-driven institutional investors; Azzad Asset Management, a faith-based, socially responsible investment firm; Zevin Asset Management, a sustainable investment firm based in Boston; Domini Impact Investments, LLC, a women-led impact investment mutual fund based in New York; and the Investor Alliance for Human Rights, a collective action platform for responsible investment grounded in respect for people's fundamental rights.

We believe AI promises enormous potential benefits for society at large, and - if deployed correctly - will also be a boon to investors. However, for both of these promises to be realized, it is imperative that both investors and society are able to trust in the safety and credibility of this technology. Particularly for responsible investors seeking long-term value creation and financial gain, establishing trust in AI and the companies developing and deploying it will require government-imposed guardrails.

Above all, any approach to standard setting for the AI sector should be grounded in fundamental human rights principles. In line with the United Nations Guiding Principles on Business and Human Rights, all companies engaging with this new technology should be expected to publicly commit to respecting human rights, conducting human rights due diligence, and providing effective remedy for any adverse human rights impacts that may occur.

The tech sector's rapid speed of development that can lead it to "move fast and break things" must be curbed in the context of AI–the stakes are too high for companies to treat impacts to human rights and society as an afterthought.

1. The lack of transparency regarding how AI models are being trained and deployed across different sectors is a risk to all investors.

The speed of AI development and deployment is outpacing the development of standards and accountability mechanisms for ensuring AI models are fair and function as claimed. Employees at Google and Microsoft have raised concerns about this,[1] and even Google CEO Satya Nadella has said that the speed of AI's advancement "keep[s] [him] up at night."[2] In effect, what many AI companies are doing is akin to "releasing race cars without seatbelts or fully working brakes, and figuring things out as they go."[3] Despite the lack of safety precautions, AI models have already been integrated across a number of sectors that bear on fundamental human rights and social interests like finance, healthcare, employment, law enforcement, defense, and housing.

With respect to generative AI in particular, there is already substantial evidence that these models are often flawed; they are biased, make mistakes, and even fabricate information.[4] For example, ChatGPT is known to invent names and dates, medical explanations, the plots of books, internet addresses, and even historical events that never happened.[5] It also fabricates sources like newspaper articles.[6] Particularly troubling, its outputs can look very realistic despite not being accurate.[7] Princeton University computer science professor Arvind Narayanan warned that "you can't tell when [ChatGPT] is wrong unless you already know the answer."[8]

Without greater transparency about the contexts in which AI models are being deployed and the data they are being trained on, investors are effectively absorbing the risk of these models producing adverse outcomes, including real harms on users and communities. Mandated transparency standards are especially important in this context given how complex the AI value chain can be; it may be difficult for investors to discern whether potential issues may arise from an AI model's design, deployment, or both.

2. AI accountability measures like risk assessments and audits should be standardized to protect investors from "social washing."

Companies are already employing techniques like AI risk assessments and audits to attempt to elicit greater confidence in the fairness of their AI models. However, without standards for these assessments and for the entities undertaking them, investors have no way of knowing whether they can trust the results or compare them to that of another company. In fact, an audit-centered algorithmic accountability

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[1] Nico Grant & Karen Wiese, The New York Times, "In A.I. Race, Microsoft and Google Choose Speed Over Caution" (7 April 2023); Julia Love, Bloomberg, "Google CEO Warns Against Rush to Deploy AI Without Oversight" (16 April 2023).

[2] Julia Love, Bloomberg, "Google CEO Warns Against Rush to Deploy AI Without Oversight" (16 April 2023).

[3] Melissa Heikkilä, MIT Technology Review, "A Cambridge Analytica-style scandal for AI is coming" (25 April 2023).

[4] Pawel Rzeszucinski, Forbes, "The Supremacy of Biases in AI" (6 March 2023); Faustine Ngila, Quartz, "A Google AI model developed a skill it wasn't expected to have" (17 April 2023); Karen Wiese & Cade Metz, The New York Times, "When A.I. Chatbots Hallucinate" (1 May 2023).

[5] Karen Wiese & Cade Metz, The New York Times, "When A.I. Chatbots Hallucinate" (1 May 2023).

[6] Chris Moran, The Guardian, "ChatGPT is making up fake Guardian articles. Here's how we're responding" (6 April 2023).

[7] Wiese & Metz, op.cit.

[8] Maximiliana Wynne, Modern War Institute, "Disinformation in the Age of ChatGPT" (2 March 2023).

approach is being "rapidly mainstreamed into voluntary frameworks and regulations" despite unresolved concerns from stakeholders and considerable influence from the AI industry itself.[9]

According to a recent report from the AI Now Institute, companies are offering AI audits-as-a-service "despite no clarity on the standards and methodologies for algorithmic auditing, nor consensus on the definitions of risk and harm," and as a result, "[a]udit tools will forever be compromised by the conundrum, making it more likely than not that audits will devolve into a superficial 'checkbox' exercise."[10] Without mandatory standards for AI audits and assessments, including those focused on measuring adverse impacts to human rights, there is an incentive for companies to "social wash" their AI assessments; i.e. give investors and other stakeholders the impression that they are using AI responsibly without any meaningful efforts to ensure this.

3. The lack of transparency and accountability measures is contributing to a speculative market bubble.

As was the case with the dotcom and cryptocurrency bubbles, when there is a rapid breakthrough in a new technology and a lack of transparency around the technology, the risk of speculative decision-making within the market emerges. This risk is heightened the more complicated the new technology, and many believe an AI market bubble is already forming.[11] Without information about how companies are developing and using AI and the extent to which it is working properly, investors are essentially left to trust the marketing claims of the companies they invest in.

Generating trust in AI technology "will require a commitment to transparency, fairness and accountability, as well as a willingness to invest in developing robust ethical and regulatory frameworks. If the creators of generative AI systems do not adhere to these standards, then this technology is more likely to be a bubble, as businesses and customers will not trust it."[12]

Further, the burden should be placed onto companies developing and using AI to prove on an ongoing basis that their products are not causing harm. As the AI Now Institute has noted, we need companies to commit to more than vetting their tools through third-party audits because these approaches "play directly into the tech company playbook by positioning responsibility for identifying and addressing harms outside of the company."[13]

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[9] AI Now Institute, 2023 Landscape on Algorithmic Accountability, "Algorithmic Accountability: Moving Beyond Audits" (11 April 2023).
[10] AI Now Institute, op.cit.
[11] George Hammond, The Financial Post, "Skeptical investors worry whether advances in AI will make money" (7 March 2023); Keith Speights, The Motley Fool, "Are AI Stocks in a Bubble That's About to Burst?" (22 May 2023); Jennifer Sor, Markets Insider, "The AI hype gripping the stock market will resemble a miniature dot-com bubble, UBS's Art Cashin says" (25 May 2023).
[12] Beerud Sheth, Built In, "Is Generative AI the Next Tech Bubble?" (18 April 2023).
[13] Cristiano Lima, The Washington Post, "Former FTC advisors urge swift action to counteract 'AI hype'" (11 April 2023).

4. The absence of federal privacy protections exacerbates risk to investors.

All AI models, and particularly large language models, need to be trained on "massive amounts of existing data, much of which is made by people who had no idea their information would be used to train a piece of software."[14] Due to the opacity of the training process, investors have little way of knowing what personal private information or intellectual property may have been used to train AI tools developed or deployed by particular companies. Without a federal regulatory regime for privacy, US companies lack minimum standards for what kind of information they can collect and use to train their models.

Some companies are already running afoul of privacy regulators in other jurisdictions, which creates financial risk for investors. For example, ChatGPT is facing regulatory challenges from European and Canadian authorities.[15] Further, Wojciech Wiewiórowski, the EU's data watchdog, warns that "The breathless pace of [AI] development means that data protection regulators need to be prepared for another scandal like Cambridge Analytica."[16] Without effective federal privacy protections, investors are left to absorb the financial, regulatory, and litigation risk that may come from companies using inappropriate data to train their models and potentially harming rights-holders in the process.

5. Generative AI tools are known to propagate dis- and mis-information, which has potential to wreak havoc on markets and our social fabric.

The Eurasia Group lists generative AI as the third entry in their 2023 Top Risks Report, warning that "When barriers to entry for creating content no longer exist, the volume of content rises exponentially, making it impossible for most citizens to reliably distinguish fact from fiction."[17] Recent advancements have made it possible for people without technical backgrounds to manipulate or generate realistic facial samples,[18] and despite ChatGPT's existing moderation filters, people have been able to get the chatbot to say everything from curse words, to slurs, to conspiracy theories.[19]

In addition to the false information chatbots like ChatGPT are known to produce, this readily generated disinformation can cause disruption to social cohesion, political stability, and market integrity. The Eurasia Group predicts that demagogues and populists will weaponize AI for narrow political gain at the expense of democracy and civil society and autocrats will use it to undermine democracy abroad and stifle dissent in their home countries.[20] Increased instability in political regimes around the world creates risks for investors, particularly those diversified across regions.

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[14] Mohar Chatterjee, Politico, "OpenAI stumps in Washington" (16 May 2023).
[15] Frances D'Emilio & Matt O'Brien, AP News, "Italy temporarily blocks ChatGPT over privacy concerns" (31 March, 2023); Jody Serrano, Gizmodo, "European Data Protection Board Launches ChatGPT Task Force" (14 April 2023); Office of the Privacy Commissioner of Canada, "OPC to investigate ChatGPt jointly with provincial privacy authorities" (May 25, 2023).
[16] Heikkilä, op.cit.
[17] Ian Bremmer & Cliff Kupchan, Eurasia Group 2023 Top Risks Report, "Risk 3: Weapons of Mass Disruption" (3 January 2023).
[18] Zahid Akhtar, Journal of Imaging, 9(1), 18, "Deepfakes Generation and Detection: A Short Survey" (2023).
[19] Chloe Xiang, Vice, "People are 'Jailbreaking' ChatGPT to Make It Endorse Racism, Conspiracies" (8 February 2023).
[20] Bremmer & Kupchan, op.cit.

Investors will also have a hard time distinguishing between genuine corporate engagement and other content that is seemingly legitimate but could instead be sabotage attempts by hackers or rivals.[21] Further, companies will now have to prepare for new reputational risks from the potential of key executives or accounts being impersonated with malicious intent, which can trigger stock selloffs.[22] To protect our institutions and markets from this kind of manipulation, companies creating generative AI tools need oversight and standards aimed at reducing the ability of bad actors to use them for deception.

6. Disruptions to the labor market from AI developments can have destabilizing effects for the wider economy.

While AI may be a boon to some areas of the economy, it may harm others disproportionately. Gregory Hinton, a pioneer in AI and former Google employee, worries that AI technologies will upend the job market. "Today, chatbots like ChatGPT tend to complement human workers, but they could replace paralegals, personal assistants, translators and others who handle rote tasks."[23] According to a recent Goldman Sachs report, roughly two-thirds of current jobs in the US and the EU are exposed to some degree of AI automation, and generative AI could substitute up to one-fourth of current work. This extrapolates to an estimated 300 million full-time jobs that are vulnerable to being replaced by AI.[24]

While Goldman Sachs goes on to suggest that worker displacement from automation has historically been offset by the creation of new jobs, the difference between AI and those earlier technologies is that they could accomplish only routine tasks whereas AI has the potential to infer and learn. As a result, AI poses "very different implications for labor demand, job polarization, and inequality."[25]

For widely diversified institutional investors or "universal owners" with exposure to much if not all of the economy and the market, predictions like these are worrisome. For these investors, which include pension funds, insurance companies, university endowments, mutual funds, and sovereign wealth funds, overall economic performance influences the future value of their portfolios more than the performance of individual companies or sectors.[26] To protect the investments of these socially valuable financial institutions, greater research should be devoted to understanding how workers are likely to be affected or displaced by AI and policy protections should be put in place to help ensure that economic gains from the AI revolution are shared more evenly and equitably across the economy and society.

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[21] Op.cit.
[22] Op.cit.
[23] Cade Metz, The New York Times, "'The Godfather of A.I.' Leaves Google and Warns of Danger Ahead" (4 May 2023).
[24] Jan Hatzius et al, Goldman Sachs, "The Potentially Large Effects of Artificial Intelligence on Economic Growth" (26 March 2023).
[25] US-EU Trade and Technology Council, *The Impact of Artificial Intelligence on the Future of Workforces in the European Union and the United States of America*.
[26] Roger Urwin, Rotman International Journal of Pension Management 4:1, "Pension Funds as Universal Owners: Opportunity Beckons and Leadership Calls" (Spring 2011).

7. The lack of clarity regarding liability for AI-related harms puts both investors and rights-holders at risk.

Legal experts are divided regarding how AI-related harms fit into existing liability regimes like product liability, defamation, intellectual property, and third-party-generated content. The lack of guardrails around what data can be used to train AI models and their propensity for falsehoods are quickly raising questions of legal responsibility for AI developers and users. Getty Images filed a suit against Stability AI, the maker of the AI art generator Stable Diffusion, alleging that the AI startup improperly used more than 12 million of Getty's images to train its system.[27] And in what would be the first defamation lawsuit against ChatGPT, a mayor in Australia has indicated that he will sue OpenAI if it does not correct the chatbot's false claims that he served time in prison for bribery.[28]

Without a clear liability framework, it is difficult for companies and investors to estimate the nature of the legal risk associated with different AI products, and it is challenging for affected rights-holders to know when and how to seek an adequate remedy. The status quo puts the onus on claimants adversely affected by AI products to attempt to litigate their way through this uncertainty, which may prove to be at huge cost and little remediation to them–and may create an inconsistent patchwork of liability rules across the country. To reduce the risk for investors and the burden on affected rights-holders, companies require clear rules outlining their responsibility for the inputs and outputs of their AI models.

Conclusion

To summarize, we believe the investor perspective is a critical one when it comes to considering how to build trust and accountability into the AI ecosystem. Investors are stakeholders in the future of AI not only as shareholders in the companies developing and using this new technology but also as key actors in our social economy.

To engender investor confidence in AI, government intervention is needed to: a) increase transparency on how AI models are being trained and deployed; b) standardize AI accountability measures like assessments and audits, including those measuring adverse impacts to human rights; c) create a strong federal privacy protection regime; d) develop standards aimed at limiting the capacity for AI tools to be used to create mis- and dis-information; e) put policy protections in place to help ensure AI-related labor market gains and losses are more evenly distributed across the economy; and f) create a legal liability framework that simplifies and facilitates the remedial process for affected rights-holders.

We believe the NTIA's efforts to create an AI accountability ecosystem are of great importance to investors, particularly those who are invested in the long-term health of our economy and democracy and those who value respect for human rights. We thank the NTIA for this opportunity to submit input, and we look forward to participating in the ongoing discussion on this issue.

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[27] Zoe Schiffer & Casey Newton, The Verge, "Microsoft lays off team that taught employees how to make AI tools responsibly" (13 March 2023).
[28] Byron Kaye, Reuters, "Australian mayor readies world's first defamation lawsuit over ChatGPT content" (5 April 2023).

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